Tidewater Communities
Masterplanned residential communities | South East Queensland

Caboolture West Estates Information Memorandum

A$58.0M senior secured land and civils development facility, 318 lot residential subdivision, Cab

Prepared for prospective senior lenders
Prepared by Tidewater Communities Group
Version 1.0, 17 October 2022
Confidential
Reference: TCG-CWE-IM-2022-01
Date: 17 October 2022

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Borrower	Caboolture West Estates Pty Ltd
ABN	94 543 474 256
Registered address	Level 2, 46 Hasking Street, Caboolture QLD 4510
Sponsor	Tidewater Communities Group (Tidewater Communities Pty Ltd as head entity)
Project	318 lot masterplanned residential subdivision, Caboolture West, Moreton Bay region, QLD
Facility sought	A$58.0M senior secured land and civils development facility, 30 month tenor
Financial adviser	Ashgrove Capital Advisory Pty Ltd
Date and version	17 October 2022, Version 1.0

Transaction details

1. Important notice

This information memorandum has been prepared by Tidewater Communities Group (the Sponsor) to assist prospective lenders in assessing a proposed senior secured facility to Caboolture West Estates Pty Ltd (the Borrower). It does not constitute an offer or a commitment. Forecasts and estimates are management's own and depend on assumptions that may not be realised. Valuation and quantity surveyor reports have been commissioned but are not yet complete. Figures that depend on those reports are identified as management estimates and will be superseded by the independent reports when issued. Lenders should rely on their own enquiries and on the final facility documents.

2. Executive summary

The Borrower is a single purpose entity established by the Sponsor to acquire, develop and sell a 318 lot residential land subdivision on a site of about 41.6 hectares at Caboolture West, in the Moreton Bay region of South East Queensland. The Borrower settled the acquisition of the site on 24 February 2022, funded by sponsor equity and vendor terms. Development approval for reconfiguring a lot was granted on 12 September 2022, permitting 318 lots in five stages.

The Borrower seeks a A$58.0M senior secured facility to fund the balance of the land acquisition cost and the bulk earthworks and civil infrastructure for Stages 1 to 5, over a 30 month tenor. Repayment will come from lot settlement proceeds, subject to agreed release prices.

- Total development cost (TDC) of A$86.0M, funded by the facility of A$58.0M and sponsor equity of A$28.0M.
- Gross realisation value (GRV) of A$108.8M, based on an average lot price of A$342,000 excluding GST across 318 lots.
- Facility limit equals 53.3% of GRV and 67.4% of TDC.
- 58 of the 142 lots in Stages 1 and 2 (41%) are pre-sold as at the date of this memorandum, under contracts with deposits held in trust.
- Security comprises a first registered mortgage over the project land, a general security agreement (GSA) over the Borrower, and sponsor completion and cost overrun undertakings.

3. The transaction

3.1 Facility request

Facility type	Senior secured land and civils development facility
Limit	A$58.0M
Tenor	30 months from financial close
Purpose	Balance of land acquisition cost and bulk earthworks and civil infrastructure costs, Stages 1 to 5
Repayment	From lot settlement proceeds, subject to agreed release prices
Interest margin	3 month BBSW plus 6.25% p.a. on drawn amounts
Establishment fee	1.50% of the limit (A$0.87M)
Line fee	0.75% p.a. on undrawn commitment
Default rate	Margin plus 2.00% p.a.

Indicative facility terms

3.2 Sources and uses

Sponsor equity of A$28.0M will be contributed ahead of the first drawdown. Finance costs in TDC include interest, the establishment fee and line fees, and are capitalised within the facility budget.

Uses	A$M	Sources	A$M
Land acquisition and duty	32.0	Senior facility	58.0
Civil works (earthworks, roads, stormwater, sewer, water, electrical)	30.0	Sponsor equity	28.0
Statutory and infrastructure charges	7.5		
Professional fees	3.0		
Marketing and selling costs	3.4		
Contingency	2.6		
Finance costs	7.5		
Total uses	**86.0**	**Total sources**	**86.0**

Sources and uses of funds (management estimate, subject to QS review)

4. The project

4.1 Site and approvals

The site is freehold land of about 41.6 hectares in the Moreton Bay region. Management's as-is land value estimate is A$31.5M, to be confirmed by Harbourline Property Valuers Pty Ltd, whose report is expected in late November 2022. Lots range from about 330 to 600 square metres, averaging about 450 square metres, which targets owner-occupiers and small builders.

4.2 Staging and delivery

Civil works will be delivered by Brightwater Civil Pty Ltd as head contractor under a lump sum contract, with earthworks targeted to start on Stage 1 in mid 2023, following financial close. Five stages are planned over roughly 30 months.

Stage	Lots	Cumulative lots
Stage 1	70	70
Stage 2	72	142
Stage 3	58	200
Stage 4	60	260
Stage 5	58	318

Indicative staging of lots

4.3 Sales

Finished titled lots are sold under contract with deposits held in trust. Of the 142 lots in Stages 1 and 2, 58 (41%) are under contract. Stages 3 to 5 will be released during construction of earlier stages, so later stage revenue relies on sales achieved while works are under way.

5. Borrower and sponsor

5.1 Borrower and management

The Borrower has no trading history and reported nil revenue for FY22. Its directors are drawn from the Sponsor's executive team.

Director	Role
Margaret Ellison	Director and Chief Executive Officer
Daniel Blackwood	Director, Development and Delivery
Priya Carmody	Director and Chief Financial Officer

Directors of the Borrower

5.2 Sponsor financial position

Tidewater Communities Group, with Tidewater Communities Pty Ltd as head entity, will provide the completion, cost overrun and liquidity undertakings. The figures below are for the year ended 30 June 2022. Audit by Marlow Greaves Chartered Accountants is expected to be finalised by the end of November 2022, and lenders will receive the signed statements.

Sponsor group, FY22	A$M
Revenue	142.3
EBITDA	24.9
Net debt	61.4
Net debt to EBITDA	2.5x

Sponsor group key financials

6. Security and credit support

- First registered mortgage over the project land, held by the Borrower in freehold.
- General security agreement over all present and after acquired property of the Borrower, including contract rights, trust account entitlements and insurances.
- Sponsor completion undertaking, ensuring civil works are completed to the standard required for plan sealing and title registration.
- Sponsor cost overrun undertaking, covering costs above the approved budget.

- Assignment of the head contract, consultant agreements and warranties, with a direct deed from Brightwater Civil Pty Ltd.
- Release of lots on payment of the agreed release price. Management proposes the greater of 85% of net sale proceeds and a stage minimum release price, rising to 100% of net proceeds once the final stage is under construction. Terms are open for negotiation.

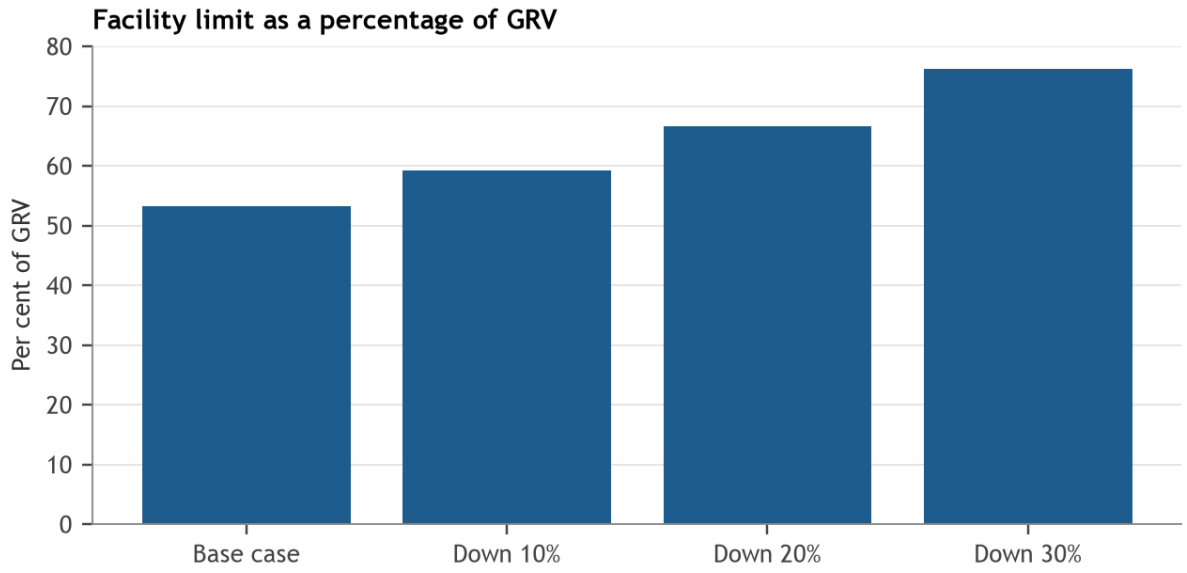
7. Financial analysis

7.1 Project economics

GRV of A$108.8M less TDC of A$86.0M gives a gross development margin of A$22.8M, or 21.0% of GRV and 26.5% of cost. The facility limit is 53.3% of GRV, so GRV could fall by about 46.7% before gross proceeds equalled the facility, before selling costs and GST. The model assumes a base case settlement default rate of 2.1% and a stress case of 5%, equivalent to about 16 lots.

GRV change	GRV (A$M)	Facility to GRV
Base case	108.8	53.3%
Down 10%	97.9	59.2%
Down 20%	87.0	66.6%
Down 30%	76.2	76.2%

Sensitivity of facility limit to GRV



Facility to GRV under lower realisation values

7.2 Independent reviews

Harbourline Property Valuers Pty Ltd has been engaged to provide an as-is and as-if-complete valuation. Corbett Lowe Quantity Surveyors Pty Ltd will review the budget, programme and contingency. Nettleton Hayes Lawyers act for the Borrower on documentation. Findings that differ from management's figures will be reflected in a revised memorandum.

8. Key risks and mitigants

Risk	Mitigant
Construction cost and programme, including wet weather and escalation in earthworks and pipe materials	Lump sum head contract, contingency of A$2.6M, QS monitoring, sponsor cost overrun undertaking
Market and pricing: lot values may soften if rates rise or demand weakens	Facility at 53.3% of GRV, minimum release prices, staged release of later lots
Settlement failure or purchaser finance difficulty	Deposits in trust, 5% default stress case against a 2.1% base case, resale rights
Pre-sales concentration: 41% of Stages 1 and 2 pre-sold	Minimum pre-sale conditions before each stage drawdown
Approvals and infrastructure: council and utility sign-off, sewer and trunk water connections	Approved DA in place, early engagement with authorities, CPs on connection approvals
Sponsor dependence, with group leverage of 2.5x EBITDA	Equity-first funding, liquidity undertaking, group financial reporting covenants

Risk summary

9. Proposed covenants

- Maximum loan to GRV and loan to cost ratios, tested at each drawdown and at each stage release.
- Minimum pre-sales before drawdown for Stages 3 to 5, to be agreed.
- Cost to complete test: undrawn facility plus undrawn equity must at all times cover the QS assessed cost to complete.
- Sponsor net debt to EBITDA covenant, tested half yearly.
- Monthly reporting on sales, settlements, costs and programme, with QS site inspections before each drawdown.
- All sale proceeds paid to a controlled account, with deposits held in trust until settlement.

10. Conditions precedent

- Satisfactory independent valuation and QS report.
- Execution and registration of all security and sponsor undertakings.
- Evidence that A$28.0M of sponsor equity has been contributed.
- Executed head contract, insurances and direct deed with Brightwater Civil Pty Ltd.
- Copies of the development approval and all other required approvals.
- Legal opinions, searches, and audited FY22 sponsor financial statements.

11. Indicative timetable

Milestone	Target
Information memorandum issued	17 October 2022
Valuation report received	Late November 2022
QS report received	December 2022
Term sheet and credit approval	Q1 2023
Earthworks commencement, Stage 1	Mid 2023

Process timetable (indicative)

12. Contacts

Enquiries should be directed to Ashgrove Capital Advisory Pty Ltd, acting for the Sponsor, or to Priya Carmody, Director and Chief Financial Officer, at Level 2, 46 Hasking Street, Caboolture QLD 4510.